AGA KHAN UNIVERSITY EXAMINATION BOARD

HIGHER SECONDARY SCHOOL CERTIFICATE

CLASS XII

ANNUAL EXAMINTAIONS (THEORY) 2025

Principles of Accounting Paper II

Time: 1 hours 50 minutes Marks: 60

AKU-EB Annual Examinations 2025 for Teaching & Learning only

INSTRUCTIONS

Please read the following instructions carefully.

1. Check your name and school information. Sign if it is accurate.

I agree that this is my name and school. **Candidate's Signature**

RUBRIC

2. There are THIRTEEN questions. Answer ALL questions.
3. When answering the questions:

   Read each question carefully.
   Use only a black pointer to write your answers. DO NOT write your answers in pencil.
   Use a black pencil for diagrams. DO NOT use coloured pencils.
   DO NOT use staples, paper clips, glue, correcting fluid or ink erasers.
   Complete your answer in the allocated space only. DO NOT write outside the answer box.

4. The marks for the questions are shown in brackets ( ).
5. You may use a scientific calculator if you wish.
6. Wherever new terminologies are mentioned their old terminologies are mentioned in the brackets for your assistance.

(**Note**: Read the following information to answer **Q.1** and **Q.2.**)

Following details have been taken from the books of Earth Associates (a business that does not maintain proper books of accounts).

As on January 01, 2024		As on December 31, 2024	
Account Title	**Amount (Rs)**	**Account Title**	**Amount (Rs)**
Equipment	800,000	Equipment	900,000
Trade (account) receivables	46,000	Trade (account) receivables	50,000
Inventory	32,000	Inventory	28,000
Cash and Bank	28,000	Cash and Bank	42,000
Trade (account) payables	73,000	Trade (account) payables	52,000
Bank overdraft	20,000	Other liabilities	12,000

Additional information as on December 31, 2024 is as under:

- Depreciation on equipment is to be charged at 12% annum using straight-line (fixed instalment) method.
- Provision (allowance) for bad debts (doubtful debt) is to be charged at 2% of year-end balance.
- Additional investment during the year amounted to Rs 60,000
- Drawings by the owner for personal use amounted to Rs 48,000

AKU-EB Annual Examinations 2025 for Teaching & Learning only

Q.1. (Total 2 Marks)

Calculate the amount of 'opening capital' and 'ending capital'.

Q.2. (Total 5 Marks)

Calculate the amount of net profit for the year ended December 31, 2024 for Earth Associates.

Q.3. (Total 4 Marks)

Danish-Kada is a public library that mostly stores books related to history and culture of the subcontinent. The library offers limited membership due to limited number of books. In recent times, the library is facing severe financial crisis as the operating expenses have outnumbered its revenues.

List any FOUR possible sources of funds for the library.

AKU-EB Annual Examinations 2025 For Teaching & Learning only

Q.4. (Total 3 Marks)

The following records were extracted from the books of Al-Hilal Health Club, Karachi.

Receipts		Payments	
Subscriptions	115,250	Purchase of refreshment	37,510
Sales of refreshment	84,830	General charges	8,670
Loan from bank	150,000	Electricity charges	4,800
		Wages	5,000
		Rent	1,800
		Telephone charges	3,570

Data for adjustment

- Prepaid rent Rs 800.
- Subscription receivables Rs 4,750.
- Interest on bank loan payable Rs 4,560.

Prepare the income and expenditure account for the year ended December 31, 2024.

AKU-EB Annual Examinations 2025 for Teaching & Learning only

Q.5. (Total 5 Marks)

Irfan, Shahid and Faizal are partners in a business firm. On January 01, 2024 their capital balances were Rs 550,000, Rs 600,000 and Rs 700,000 respectively. The business's net profit for the year was Rs 450,000.

The following provision was agreed and signed in the partnership deed:

- Bonus to Irfan, Shahid and Faizal Rs 20,000, Rs 25,000 and Rs 40,000 respectively.
- Each partner will receive 10% interest on the opening capital of the year.
- Remaining profit will be distributed in the ratio 1:2:3

a. Prepare an income distribution summary of the business. (3 Marks)

Particular	Irfan	Shahid	Faizal	Total

AKU-EB Annual Examinations 2025 for Teaching & Learning only

b. Post the general journal entry of profit distribution based on the given assumptions. (2 Marks)

i. Capital is fluctuating.

ii. Capital is fixed.

Under fluctuating capital

Date	Particular	P.R	Debit	Credit

Under fixed capital

Date	Particular	P.R	Debit	Credit

AKU-EB Annual Examinations 2025 for Teaching & Learning only

Q.6. (Total 5 Marks)

a. Differentiate between the terms, ‘goodwill’ and ‘bonus’. (2 Marks)

	Goodwill	**Bonus**
1		
2		

b. Identify the given conditions as ‘goodwill’ or ‘bonus’ and mention its beneficiaries. (Attempt any THREE). (3 Marks)

Condition	**Goodwill / Bonus**	**Beneficiaries**
The total capital is increased by the investment of new partner.	Bonus	Old partners
No change occurs in the capital of the existing firm (old partners).		
Existing partners are not ready to reduce their capital (less than the book value).		
The new partner’s capital account will be credited with the entire amount of his investment in the firm (more than the book value).		
The total capital of the firm is revalued at a new extended value.		

AKU-EB Annual Examinations 2025 for Teaching & Learning only

Q.7. (Total 5 Marks)

Sadia, Areej and Maria were partners sharing profits and losses in the ratio of their capital. The balance sheet of the business firm is as follows

Balance Sheet			
Particular	**Amount**	**Particular**	**Amount**
Cash	250,000	Trade (Account) payable	40,000
Trade (A/c) receivable	120,000	Sadia's capital	450,000
Merchandise inventory	430,000	Areej's capital	450,000
Equipment	590,000	Maria's capital	450,000
	1,390,000		**1,390,000**

Areej has withdrawn herself from the current business but the remaining partners will continue the business.

Areej recieved Rs 150,000 cash, equipment of Rs 150,000 and notes payable of Rs 200,000 from the business. The overall 'goodwill' of the firm is to be recorded.

a. Compute 'goodwill' on the basis of revaluation. (3 Marks)

b. Record goodwill with reference to Areej's retirement in the general journal. (2 Marks)

AKU-EB Annual Examinations 2025 for Teaching & Learning only

S. No.	Particular	P.R.	Debit	Credit

AKU-EB Annual Examinations 2025 for Teaching & Learning only

Q.8. (Total 5 Marks)

The balance sheet of Faraz and Ayan on September 1, 2024 is as follows:

Statement of Financial Position (Balance Sheet)			
Cash	36,000	Accounts payable	20,000
Other assets	144,000	Faraz's capital	70,000
		Ayan's capital	90,000

On the same date, they decided to liquidate their business. Other assets are sold for Rs 200,000. Liabilities were paid off and available cash was distributed among the partners. They share profit and loss in the ratio of 3:2.

Prepare either liquidation summary OR general journal entries using the given data.

(**Note:** The formats for preparing either liquidation summary or general journal are given for your convenience.)

	Particulars	Cash	Other Assets	Trade (account) Payable	Faraz's Capital	Ayan's Capital

Annual Exam FEB 2025 for Teaching & Learning only

S. No.	Particular	P.R.	Debit	Credit

AKU-EB Annual Examinations 2025 for Teaching & Learning only

Q.9. (Total 10 Marks)

The following information is available for Orient Corporation Ltd. for the year ended December 31, 2024:

Particulars	Amount (Rs)
Collection of principle amount (long-term loan to a supplier)	16,000
Acquisition of equipment for cash	10,000
Proceeds from the sale of long-term investment at book value	22,000
Issuance of common stock for cash	20,000
Depreciation expense	25,000
Redemption of bonds payable at carrying (book) value	34,000
Payment of cash dividends	6,000
Net income	30,000

In addition, the following information is available from the comparative balance sheet for Orient Corporation Ltd. at the end of year 2023 and 2024:

Particulars	2024	2023
	Amount (Rs)	Amount (Rs)
Cash	148,000	91,000
Trade (account) receivable (net)	25,000	15,000
Prepaid insurance	19,000	13,000
Accounts payable	36,000	26,000

Prepare statement of cash flows for the year ended December 31, 2024, using the indirect method.

AKU-EB Annual Examinations 2025 for Teaching & Learning only

AKU-EB
Annual Examinations 2025
for Teaching & Learning only

Q.10. (Total 5 Marks)

Distinguish between the following concepts related to joint stock company's equity.

a. Shares and debentures (bonds) (3 Marks)

	Shares	**Debentures** (Bonds)
1		
2		
3		

b. Shareholders and debenture holders (2 Marks)

	Shareholders	**Debenture holders**
1		
2		

AKU-EB Annual Examinations 2025 for Teaching Learning only

Q.11. (Total 5 Marks)

The following transactions were extracted from the books of Alpha Company with a share par value of Rs 10 each.

- Issued shares against the 10,000 shares application submitted in the bank at par value.
- Issued shares against the acquiring of an agricultural land by allotting 100,000 shares @ Rs 12.50.
- Issued shares for full and final settlement of a bank loan of Rs 250,000 by allotting 20,000 shares.
- Issued shares for acquiring a current business worth Rs 750,000 by allotting shares @ Rs 8.
- Issued shares for the preliminary expenses of Rs 450,000 by allotting shares @ Rs 9.

Post the general journal entries for the given transactions.

S. No.	Particular	P.R.	Debit	Credit

AKU-EB Annual Examinations 2025 for Teaching & Learning only

Q.12. (Total 4 Marks)

Ayan's local dairy store maintains milk inventory by the gallon. The first month's milk purchases and sales are as follows:

November 1,	Balance 8 gallons at $ 1.90 each.
November 6,	Purchased 6 gallons at $ 2.50 each.
November 8,	Sold 4 gallons of milk to customers.
November 13,	Purchased 6 gallons at $ 2.90 each.
November 14,	Sold 15 gallons of milk to customers.

Determine the amount that would be reported as 'ending merchandise inventory' and 'cost of goods sold' on November 15, 2023 using the 'FIFO (first in first out) inventory costing method'.

Date	Particular	Receipt			Issued			Balance		
		Units	Rate	Amount	Units	Rate	Amount	Units	Rate	Amount
Nov,01								**8**	**1.90**	**15.20**

AKU-EB Annual Examinations 2025 for Teaching & Learning only

Q.13. (Total 2 Marks)

Based on your findings in Q.12, identify any TWO merits OR demerits for opting a 'FIFO (first in first out) inventory system' for the business organisation.

AKU-EB Annual Examinations 2025 for Teaching & Learning only

END OF PAPER

Please use this page for rough work

AKU-EB
Annual Examinations 2025
for Teaching & Learning only

Please use this page for rough work

AKU-EB
Annual Examinations 2025
for Teaching & Learning only

Please use this page for rough work

AKU-EB
Annual Examinations 2025
for Teaching & Learning only